

September 25, 2026

Svasti Microfinance Private Limited: Rating reaffirmed for PTCs issued under microfinance loan receivables securitisation transaction

Summary of rating action

Trust Name	Instrument*	Initial amount rated (Rs. crore)	Amount O/s after last surveillance (Rs. crore)	Current amount rated (Rs. crore)	Rating action	Financial Sector Regulator#
Kraz 06 2025	Series A1 PTCs	14.79	NA	0.89	[ICRA]A-(SO); reaffirmed	RBI

*Instrument details are provided in Annexure I

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

The pass-through certificates (PTCs) are backed by a pool of microfinance loan receivables originated by Svasti Microfinance Private Limited (SMPL/Originator). SMPL is also the servicer for the rated transaction.

The rating reaffirmation factors in healthy performance of the underlying pool and build-up of credit enhancement cover over the future PTC payouts on account of high pool amortisation and low expected balance tenor of the PTCs. The rating also draws comfort from the fact that the breakeven collection efficiency is nil as the available cash collateral (CC) covers the entire future PTC payouts as on August 2026 payout month.

Pool performance summary

Parameters	Kraz 06 2025
Payout month	August 2026
Months post securitisation	14
Pool amortisation	81.0%
Series A1 PTCs amortisation	94.0%
Cumulative collection efficiency ¹	99.7%
Monthly collection efficiency	126.1%
Loss-cum-30+ dpd ² (% of initial pool)	0.2%
Loss-cum-90+ dpd ³ (% of initial pool)	0.0%
Cumulative cash collateral (CC) utilisation	0.0%
CC available (as % of balance pool)	36.9%
Excess interest spread (EIS ⁴ ; % of balance pool): Series A1 PTCs	4.8%
Principal subordination (% of balance pool): Series A1 PTCs	72.3%
Breakeven collection efficiency (% of balance pool): Series A1 PTCs	Nil

¹ (Cumulative current and overdue collections till date)/(Cumulative billing till date + Opening overdue at the start of the transaction)

² Inclusive of unbilled and overdue principal portion of delinquent contracts overdue by more than 30 days, as a % of pool at the time of securitization

³ Inclusive of unbilled and overdue principal portion of delinquent contracts overdue by more than 90 days, as a % of pool at the time of securitization

⁴ (Pool cash flows – Cash flows to PTC investors – Originator's residual share)/Pool principal outstanding

Transaction structure

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. Any surplus excess interest spread (EIS), after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the redemption of the Series A1 PTCs principal. However, on the occurrence of predefined trigger events, the 100% residual EIS every month shall be utilised for accelerating the principal payment due to Series A1 PTCs and as on date the triggers are breached and the transaction follows the turbo amortisation structure.

Key rating drivers and their description

Credit strengths

Significant Build-up of credit enhancement – The rating factors in the significant build-up in the credit enhancement such that cash collateral (CC) fully covers subsequent PTC payouts and the subordination increasing to 72.3% of the balance pool principal from 13.0% at the time of securitisation. Credit support is also available through excess interest spread (EIS) of 4.8% of the balance pool principal. There has been no CC utilisation in the pool in any of the months post securitisation.

Healthy pool performance – The performance of the pool has been healthy with a cumulative collection efficiency of ~99% as on August 2026 payout and resultant lower delinquencies in the pool with nil 90+ days past due (dpd) as on August 2026 payout month.

Adequate servicing capability of Svasti – The Originator has adequate processes for servicing the loan accounts in the securitised pool. It has demonstrated a considerable track record of over a decade of regular collections across geographies and multiple economic cycles.

Credit challenges

Not applicable

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

Details of key counterparties

The key counterparties in the rated transaction are as follows:

Transaction Name	Kraz 06 2025
Originator	Svasti Microfinance Private Limited
Servicer	Svasti Microfinance Private Limited
Trustee	Beacon Trusteeship Limited
CC holding Bank	Dhanalaxmi Bank
Collection and payout account Bank	ICICI Bank Limited

Liquidity position: Superior

The liquidity for the PTC instrument is superior as the CC fully covers entire future PTC payouts.

Rating sensitivities

Positive/Negative factors – Rating is unlikely to be revised given the shorter expected balance tenure of the PTCs.

Analytical approach

The rating action is based on the performance of the pool till the August 2026 payout month (July 2026 collection month), the present delinquency profile of the pool, the credit enhancement available in the pool, and the performance expected over the balance tenure of the pool.

Analytical approach	Comments
Applicable rating methodologies	Securitisation Transactions
Parent/Group support	Not applicable
Consolidation/Standalone	Not applicable

About the originator

The company, which was incorporated in October 2008 as Svasti Foundation, was renamed Svasti Microfinance Private Limited in October 2010. The company is registered with the Reserve Bank of India as a non-deposit taking, non-banking financial company – microfinance institution (ND-NBFC-MFI). Svasti provides microcredit to women for income-generating activities under the joint liability group (JLG) lending model and it also extends loan against property (LAP). Along with microcredit, it offers individual loans for business activities and insurance products to the existing members of the JLG. The share of JLG loans is 92% and remaining 8% is for LAP as of June 30, 2026.

As on June 30, 2026, the company reported assets under management (AUM) of Rs. 522 crore with a presence in 8 states and 98 districts, catering to 2.1 lakh borrowers through a network of 149 branches.

Key financial indicators (audited)

Particulars	FY2025	FY2026	Q1FY2027*
Total income	256.1	169.3	32.7
Profit after tax	(21.5)	0.6	0.8
Total managed assets	1,101.6	706.3	633.4
Gross stage 3	8.6%	0.1%	0.5%
CRAR	23.5%	46.7%	43.6%

Source: Company, ICRA Research; Amount in Rs. crore; *Provisional

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust name	Instrument	Current rating (FY2027)		Chronology of rating history for the past 3 years				
		Initial amount rated (Rs. crore)	Current amount rated (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026		Date & rating in FY2025	Date & rating in FY2024
				September 25, 2026	September 15, 2025	July 02, 2025	-	-
Kraz 06 2025	Series A1 PTCs	14.79	0.89	[ICRA]A-(SO)	[ICRA]A-(SO)	Provisional [ICRA]A-(SO)	-	-

Complexity level of the rated instrument

Trust name	Instrument	Complexity indicator
Kraz 06 2025	Series A1 PTCs	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click here](#)

Annexure I: Instrument details

Trust Name	Instrument	Date of Issuance / Sanction	Coupon Rate (p.a.p.m.)	Maturity Date	Current Amount Rated (Rs. crore)	Current Rating	Financial Sector Regulator#
Kraz 06 2025	Series A1 PTCs	June 27, 2025	13.20%	February 16, 2027	0.89	[ICRA]A-(SO)	RBI

Source: Company

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Annexure II: List of entities considered for consolidated analysis

Not applicable

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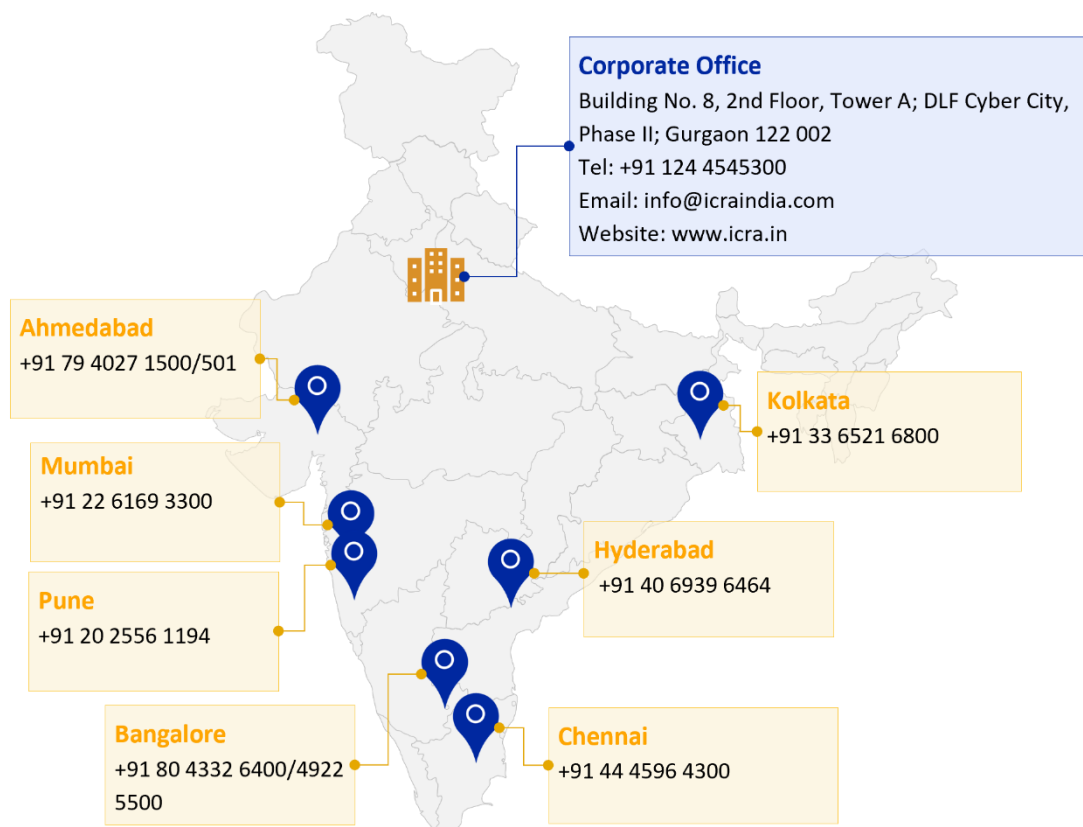


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